BWET

BREAKWAVE ADVISORS

Tanker Shipping

February 25, 2025

Breakwave Tanker Futures Index:	1,199	VLCC Middle East-Asia Spot Rates:	12.69	Short-term Indicators:	
↑ 30D: -1.0%		↑ 30D: 13.4%		Momentum:	Negative
↑ YTD: 10.8%		↓ YTD: 41.3%		Sentiment:	Neutral
↑ YOY: -11.8%		↑ YOY: -11.6%		Fundamentals:	Positive

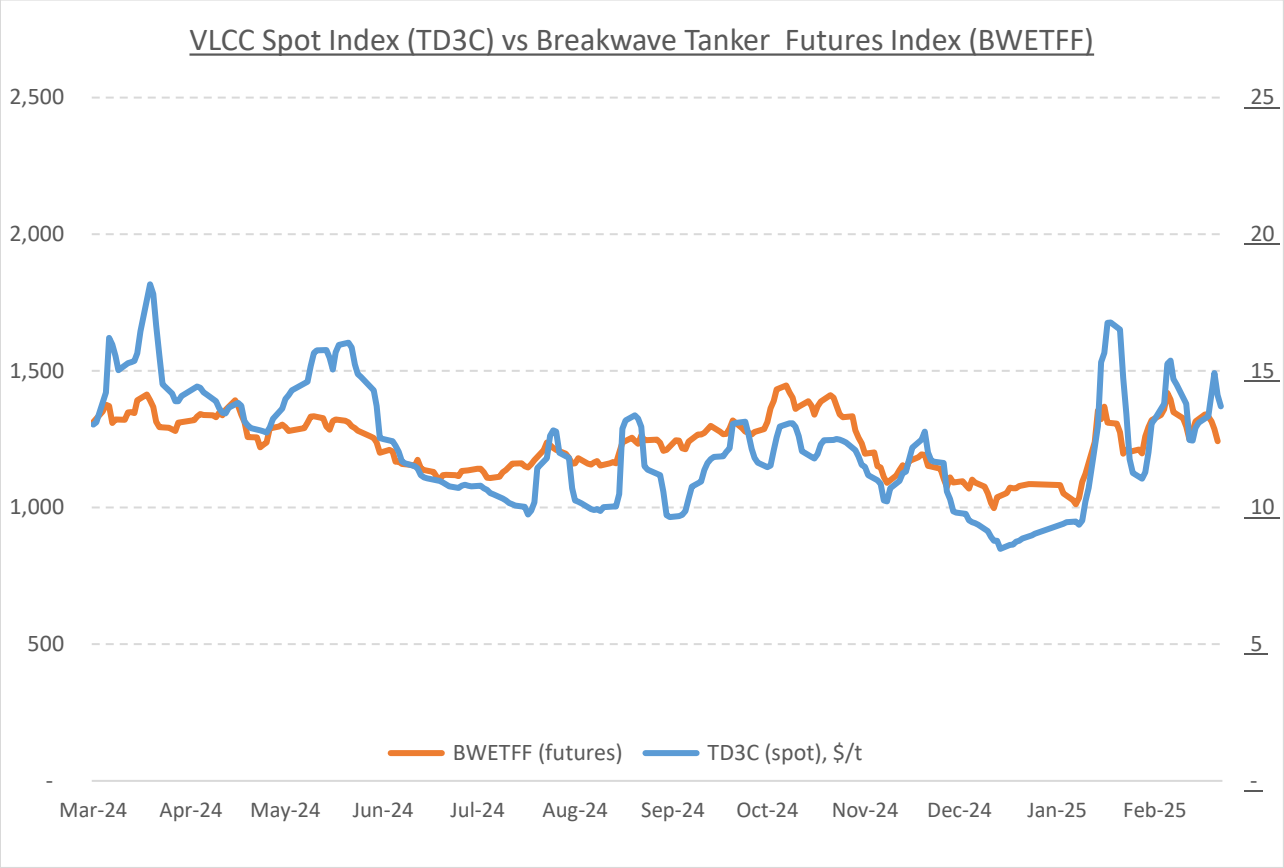
Bi-Weekly Report

- **Geopolitical Shifts and Regulatory Pressures: A Volatile Outlook for the VLCC Freight Market –** At the end of February, **sentiment** in the VLCC (Very Large Crude Carrier) freight market remained exceptionally **sensitive** to evolving sanctions and geopolitical shifts. Despite tightening global sanctions, recent market data indicated that China's imports of sanctioned oil had rebounded, triggering a notable shift in the market for dirty oil. Western regulators have increasingly targeted vessels involved in transporting Russian and Iranian crude, **prompting shippers to rely on unsanctioned**, often older VLCCs—many sourced from the so-called shadow fleet. These vessels, now subject to bans at key ports and tighter regulatory oversight, have contributed to short-term spikes in freight rates and heightened volatility as market participants adjust to a constrained fleet. In the Atlantic Gulf region, **early signs of softening sentiment** emerged during the third week of February. A few deals executed at levels below previous highs, suggested that market participants were beginning to apply downward pressure on rates. With the **tonnage list expected to expand** in the coming days, charterers may leverage increased vessel selection to negotiate even lower rates. While owners may still secure a premium on very short-dated fixtures due to limited early supply, the overall trend points toward easing freight levels driven by increased vessel availability and cautious market sentiment. **Yet**, regulatory pressures and the further targeting of non-compliant vessels are expected to **sustain elevated demand for unsanctioned VLCCs**, particularly on critical routes from the Middle East to Asia, thereby supporting freight rates. Once again, the VLCC tanker market appears thinly balanced between a stable demand outlook and shifting vessel supply which will continue to drive freight rates for the foreseeable future.

- **Oil Prices Back at the Low End of Recent Range as Demand Worries Overcome Supply Concerns –** The global oil market is once again centered on demand dynamics, with **China's ongoing energy mix shift** continuing to weigh on growth forecasts. This, coupled with the potential for OPEC+ to proceed with planned production increases, suggests a market that may be oversupplied. Despite various **geopolitical concerns,** oil markets have remained **largely unaffected**, with prices testing the lower bounds of the recent trading range. While global oil inventories remain relatively low, OPEC+ possesses significant spare capacity, mitigating concerns over potential supply disruptions, even in the event of ongoing or anticipated geopolitical conflicts. The **growth in Atlantic basin barrels** continues, positively impacting tanker demand. However, without greater clarity on oil demand, it remains uncertain **how the market will absorb** the incremental crude supply in the long term, unless some form of substitution comes into play. Overall, while oil market growth remains positive, most of the **projected increases are in gas-related** products, which do not provide the same support to the **liquid-dependent tanker** market.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.



Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	104,724 kbpd	2.2%
Oil Supply, OPEC	27,030 kbpd	1.7%
Oil Supply, non-OPEC	68,625 kbpd	1.7%
OECD Total Crude Oil Stocks	1020.3 MMbls	-3.2%
US Crude Oil Exports	45.5 MMbls	2.6%
China Oil Imports	553.5 MMbls	-1.9%
Global Crude Oil Floating Storage	65.7 MMbls	6.8%

Supply		
Tanker Fleet	695.0 mdwt	0.8%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.60	-12.8%
Suezmax West Africa-Europe, USD/ton	16.67	-18.4%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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